

[3] The Plaintiff's claim against the Defendant State Farm alleges two causes of action, in the alternative: the common law tort of negligent misrepresentation; and equitable relief for breach of fiduciary duty. He seeks \$2.5 million in special damages and \$1.5 million in punitive, exemplary, aggravated and general damages from the Defendant State Farm. The factual basis for the Plaintiff's two alternative causes of action is the same. In essence, he alleges that the Defendant State Farm gave him misleading legal advice to the effect that he could not successfully pursue a tort action against the driver responsible for the accident and that his only remedy was to seek "no fault" statutory benefits for the losses that he suffered. He claims that this misleading legal advice was both a negligent misrepresentation at common law and a breach of fiduciary duty in equity.

[4] The Defendant's Rule 20 Motion responds to these claims by raising two issues, both of which, according to the Plaintiff, are "genuine issues requiring a trial":

- (i) Whether the Plaintiff discovered the material facts on which he now bases his claim for negligent misrepresentation, by 1996 at the latest, in which case the limitation period expired in 2002 and the action is statute barred;
- (ii) Whether the Plaintiff was in a fiduciary relationship with his insurer State Farm, and whether there was a breach of that duty; if there was a fiduciary relationship, and a breach of duty, then a limitation defence would not apply to this claim for equitable relief but a defence of *laches* would apply.

B. **FACTS**

[5] The motor vehicle accident which caused the Plaintiff's injuries occurred on March 5, 1992. It involved a number of cars. The Motor Vehicle Accident Report describes the Defendant Jokic's car as proceeding westbound on a street in Windsor that was "wet with some black ice patches." She lost control and slid into oncoming eastbound traffic. She struck one car and then four other eastbound cars braked "causing a chain reaction collision." The Plaintiff Schneider's car was the third in line in this "chain reaction." His car suffered \$200 damage while two other cars in the accident suffered no damage, according to the report. The three other cars suffered \$16,000 damage. The posted speed limit was 50 km. per hour. There is no mention of speeding or careless driving in the report and it appears that no charges were laid against any of the drivers.

[6] The Plaintiff was wearing a seat belt and was thrown forward and then backwards in his seat. His head struck the back rest. According to the two medical reports prepared in 1993 and 1994 (which are the only relatively contemporaneous and thorough reports from doctors) he did not lose consciousness but felt stunned and weak. He had no external injuries and he did not feel pain at the time of the accident. He got out of the car and eventually drove it home himself. He

was not hospitalized and he returned to work. He visited his family doctor on March 16, 1992, some ten days after the car accident. According to the doctor's records, the Plaintiff "experienced stiff neck a few days later, after the accident, but his neck felt better at the time of

his visit". He had been to see a chiropractor and "he complained of low back pain." On the next visit to his family doctor, on March 25, 1992, "he was able to move his neck freely and also able to bend his back. He did not want medication" but was seeing the chiropractor every second day.

[7] The Plaintiff was a 51 year old self-employed accountant at the time of the accident. His business was incorporated and it owned commercial premises in Windsor. The company employed the Plaintiff as well as his spouse and two or three other employees. The Plaintiff's work was financial planning and tax planning and preparation.

[8] On January 7, 1993, some ten months after the accident, the Plaintiff submitted an Application for Accident Benefits to his insurer, the Defendant State Farm. The insurer assigned Lina Miller as the claims representative on the file. She sent the Plaintiff to see Dr. Bartol, an orthopedic surgeon in Windsor. Dr. Bartol submitted a medical report on February 11, 1993. The report was generally unhelpful to the Plaintiff. Dr. Bartol concluded that "there was no head injury" from the car accident and no evidence of concussion. He noted that the Plaintiff "has occasional headaches," but that "they are not anywhere near as severe as they used to be." The Plaintiff complained of "some mild low back pain" and of "pain in the right shoulder." Dr. Bartol found "significant evidence of degenerative disc disease on his x-rays" and concluded that "symptoms related to his back at the present time are more likely related to these findings than to injuries sustained in the accident". Dr. Bartol stated that the Plaintiff "is not gaining any significant benefit from his chiropractic treatments at this time." Most of the Plaintiff's complaints "centered around difficulties he was having last summer, including energy changes, memory loss, headaches and sleep disturbance". Dr. Bartol noted that the Plaintiff was not presently taking "any medication to treat soft tissue injuries" and that these complaints could "not be related to his accident in any way." Dr. Bartol concluded his report:

As for prognosis, I don't see any evidence of ongoing disability or ongoing problems related to the accident and I feel that Mr. Schneider has recovered fully from any injuries that he may have had in the accident. I do not feel there is any question of problems arising in the future as a result of the accident and no future treatment will be required. As for ability to perform his job, Mr. Schneider is not disabled at this time and I feel he is quite capable of performing the essential tasks of his occupation.

[9] After receiving Dr. Bartol's report, the Defendant State Farm denied a number of the Plaintiff's claims for statutory benefits relating to lost business, rehabilitation and care. On May 17, 1993, the Plaintiff filed an Application for Appointment of a Mediator. At this point, the Plaintiff was represented by counsel as the report of the mediator, dated June 25, 1993, indicates

that Curtis Fedoruk of the firm Corrent Macri in Windsor was acting for the Plaintiff. Fedoruk is both a lawyer and a medical doctor.

[10] The mediator settled the Plaintiff's claim for care benefits but was unable to settle his claims for about \$40,000 in business losses, for housekeeping expenses, for installation of a \$5,000 whirlpool spa in his home, for ongoing chiropractic treatments and related travel expenses and for ongoing weekly income benefits of \$600 per week. The Plaintiff's lawyer Fedoruk sent the Plaintiff to a neurologist, Dr. Sharma, after the generally unsuccessful mediation. Dr. Sharma saw the Plaintiff in early 1994, almost two years after the car accident, and sent a written report to Fedoruk on April 8, 1994. Dr. Sharma's report documents the Plaintiff's complaints of headaches, loss of memory, learning difficulties, sleep disruption and depression in the period after the accident, especially during the previous summer. However, by the time Dr. Sharma saw the Plaintiff in early 1994, he had been receiving chiropractic and acupuncture treatments for some time and he reported to Dr. Sharma that "the pain has improved 90% to 95% . . . there is an intermittent mild headache affecting the right side of his head. His intellectual abilities have improved. He now feels he can see clients. He does not feel as sharp as he did previously but estimates that the deficit is less than 10%". All of Dr. Sharma's tests and observations of the Plaintiff were "normal" and he concluded with the following assessment:

In summary Mr. Schneider sustained a flexion extension injury of his spine along with a mild head injury on March 5, 1992. I do not feel that his abdominal complaints are casually related to the accident. The delayed neck, shoulder and back pain however is likely the result of soft tissue injury incurred at the time of the accident. This led to sustained pain and sleep disruption along with depression. It is my feeling that the perceived cognitive difficulties resulted from the combination of pain, sleep disturbance and depression. The described magnitude is sufficient to have impaired his performance at this job during last summer. Today there is no measurable impairment in neurologic function at the bed side. While Mr. Schneider clearly was impaired during the summer of last year, this impairment has essentially resolved and I do not expect he will have long term disability.

[11] The Plaintiff proceeded to file an Application for Appointment of an Arbitrator in November, 1994 in order to pursue his various claims for statutory accident benefits. The Defendant State Farm responded, in March, 1995, taking the position that the Plaintiff was not disabled as a result of the car accident and was not entitled to the ongoing chiropractic, housekeeping and income benefits that he claimed.

[12] The arbitration hearing took place over three years after the car accident, on August 28 and 29, 1995, before David Evans. The Plaintiff had retained new counsel, Rodney Godard, about two to three months prior to the hearing. Godard was with the Windsor law firm of Kirwin Partners and had practiced as a civil litigator since 1978. At the time of the arbitration he would have had 17 years experience at the bar. His website states that his practice is restricted to "civil litigation and dispute resolution" and that insurance and personal injury litigation is one of his

focus areas. He is also a sessional lecturer in civil procedure and civil trial advocacy at the University of Windsor Faculty of Law. An affidavit from a Windsor lawyer filed on the present Motion, swears that Godard is a “well respected practitioner within the City of Windsor.” The Plaintiff’s affidavit on the Motion attacks Godard’s competence alleging, in particular, that he failed to file certain medical reports.

[13] Godard filed a written brief with the arbitrator, dated August 25, 1995, that appended eight medical reports and particularized the Plaintiff’s various claims as follows: approximately \$15,000 for chiropractic services and related travel expenses; almost \$24,000 for housekeeping and repair expenses; and over \$31,000 for lost income due to disability that “continued for at least 52 weeks”. The total claim was for \$71,422.

[14] Included in the medical reports submitted to the arbitrator was a current one from Dr. Steel, the Plaintiff’s chiropractor, dated August 10, 1995. That report referred to the fact that the Plaintiff had to travel to Chatham in order to see Dr. Steel, that his treatments included manipulating the spine and neck, acupuncture, electric current treatment and use of a pressure device on the spine. By December 1992, according to the report, the Plaintiff had experienced improvement after receiving three months of chiropractic treatment. Dr. Steel diagnosed “vertebrobasilar artery compression”, a condition that persisted for 6 months after Dr. Steel first saw the Plaintiff in September, 1992. Dr. Steel concluded that the Plaintiff “will likely require treatment on a more or less continual basis in order to remain functional.” The report of the Plaintiff’s previous chiropractor in Windsor, Dr. St. Louis, indicated that he had seen the Plaintiff shortly after the accident and had recommended purchase of a whirlpool tub and light weights to assist with “recovery of his soft tissue injuries.”

[15] Arbitrator Evans issued a long detailed decision on January 12, 1996. He rejected much of Dr. Bartol’s essentially negative report and concluded that the Plaintiff had in fact suffered various injuries as a result of the car accident. Arbitrator Evans went on to find that the pain the Plaintiff suffered was particularly acute during the summer of 1992 but that it “had essentially resolved by the end of 1992.” He read Dr. Bartol, Dr. Sharma and Dr. Steel’s reports as essentially being unanimous to the effect that the injuries had improved significantly by the time they each saw the Plaintiff and after Dr. Steel had treated him.

[16] Arbitrator Evans rejected the claim for housekeeping expenses, as none of the medical reports “document the necessity for housekeeping help” and the Plaintiff and his wife had continued to do the housekeeping as they had before the accident. He also noted that some of this claim related to repair of a skylight and to chiropractic care for a housekeeper, neither of which were proper claims. He rejected the claim for the cost of various skin medications and herbal remedies on the basis that there was no medical evidence linking them to the car accident. He allowed the claim for chiropractic services and related travel expenses up until the end of 1992, on the basis that the Plaintiff “received a benefit from Dr. Steel’s treatment through to the end of 1992.” He denied the expense for installing a whirlpool spa in the Plaintiff’s home on the basis that there was a gym nearby and, in any event, the spa was installed 9 months after the accident when the Plaintiff “was essentially recovered from the accident”. Finally, arbitrator

Evans denied the claim for lost business income as not being recoverable under the statutory benefits scheme. The Plaintiff's counsel, Mr. Godard, had essentially conceded this point.

[17] The latter concession by Godard is of some significance to the present Motion. The Plaintiff had continued to work after the accident but claimed that his business had declined as a result of his poor work performance, which was caused by his injuries. This claim for lost business income, while not recoverable under the statutory benefits scheme, would be recoverable as part of a tort claim against an "at fault" driver of one of the other cars. As a civil litigator, specializing in personal injury insurance work, Godard would know this and would likely discuss it with his client, according to the Defendant's submissions on the Motion.

[18] One further conclusion reached by arbitrator Evans, that should be noted, is his finding that the Defendant insurer had "acted reasonably" in its handling of the claim. The insurer paid for the initial chiropractic treatments by Dr. St. Louis in Windsor. The further claims for chiropractic treatments by Dr. Steel in Chatham were not documented and provided to the insurer until the week before the arbitration hearing. As a result of the arbitrator's decision, they would now have to be paid up until the end of 1992. All other claims were properly denied by the insurer, according to arbitrator Evans. Indeed, some of the Plaintiff's claims appeared to be quite unrelated or unnecessary such as his claims for skin medication, for installing the spa, for repairing a skylight and for chiropractic care for a housekeeper.

[19] The Plaintiff responded to the arbitrator's decision by filing a Notice of Appeal with the Ontario Insurance Commission. It is undated but it must have been prepared by the Plaintiff in the four weeks between January 12, 1996, when the arbitrator released his decision, and February 9, 1996 when the Plaintiff filed an Addendum to the Notice of Appeal.

[20] The Notice of Appeal and Addendum are important documents on the present Motion as they provide direct evidence of what the Plaintiff knew or believed in January and February, 1996, about his injuries and about his potential claims arising from the March 1992 car accident. It appears that Godard was no longer acting for the Plaintiff at this point as the Plaintiff personally prepared the Notice of Appeal and Addendum, with some help from his former wife and assistant.

[21] The two documents are lengthy, containing some twenty pages of single-spaced typing. They forcefully assert the Plaintiff's strong belief in his various claims. He advances numerous arguments concerning errors made by the arbitrator and by his own insurer, the Defendant State Farm. Of particular importance to the present Motion are the following assertions:

- He experienced "severe" pain in his back, immediately after the accident;
- He "recently" became "aware of the fact that I have a fractured bone where the pain was located." The specific location of the fracture is at "the pars inter articularis at L5", based on a new report from Dr. Durnin that refers to a "bony defect" at this location. The Plaintiff states that the "The L5 area is

where the steel support of the back rest slammed into my back. It is also the exact location where to this day I have back pain.” He asserts that his back always “felt like it was broken,” but he did not know “how close I was to the truth.” This new development now “explains the numerous declines of previous improvements made due to refracturing resulting from movements of my back.” On May 14, 1996, Dr. Durnin told the Plaintiff “that the fractured pars would never heal. It is permanent. So anytime I move even slightly, my back is pulled out of alignment. As long as I live, I will have back pain . . . My future is bleak indeed. No joy, just pain, condemned to a lonely existence in fear of making a wrong move”;

- He goes on to assert that he has a second permanent injury, aside from the fracture to his back:

If that [the fracture] isn’t enough, I used to say to the insurance company, the doctors and . . . the lawyers . . . that I thought I may have sustained a head brain injury. The symptoms are very simple:

- a. Headaches – pain;
- b. Fatigue – lack of energy;
- c. Concentration – learning disabilities, etc., focus of thought.

. . . When I saw the CBC broadcast on mild head injuries in November, 1995, the person in the broadcast was describing the same symptoms that I have. I knew without doubt that I had the same problems. This is also an injury for which there is no cure. It is permanent;

- In relation to the arbitrator’s conclusion that his injuries were essentially resolved by the end of 1992, he asserts that “I have not fully recovered yet and most likely never will. Minimal brain injury and fractured pars are permanent.” After receiving Dr. Sharma’s report in April 1994, the Plaintiff states that he “quit going for treatment, figuring maybe I am just crazy, imagining the problem I was having,” but after only a few months “my condition had deteriorated to the condition I was in right after the accident”;
- Most importantly, in relation to alleged negligent misrepresentation and breach of fiduciary duty by the Defendant State Farm, as claimed in the present law suit, he states that the insurer’s conduct has been “unreasonable” and even “criminal” (at para. 41):

The insurance company, Lina Miller, made several taped interviews when I was in a mentally diminished condition. I thought it was to help get proper medical attention, however, this was not the case at all. She also told me I could not sue the party responsible and had to go through the insurance company procedures. I don't think this was the case. [Emphasis added].

- As to whether this alleged ability to sue or not sue had affected the Plaintiff's adversarial relationship with his insurer and his pursuit of his statutory benefits claim, he states (at para. 41):

The accident has destroyed my health, but with the help of the insurance company it has destroyed my life. Over the years, I had to deal with an awful lot of pain and suffering for which I was told I could not sue. Does this give the insurance company the right to deny me the medical treatments, herbs, whirlpool, etc., which I utilized to minimize my pain? I hope not. The accident injuries, the pain, mental problems, the insurance company's and insurance commission's conduct, as well as future outlook, all gave me enormous mental anguish and stress to the point where I thought I was just crazy or going crazy and thought I should maybe see a shrink. . . The fact is the accident occurred more that 4 years ago and the insurance company is refusing with the help of the insurance commission to pay for basic medical expenses. I therefore have to insist on s. 282(10) [of the Insurance Act which concerns insurers who "unreasonably withheld or delayed payment"] being applied. [Emphasis added].

- As to whether the Plaintiff knew he could bring a claim against the driver responsible for the accident, in relation to any damages not covered by his claim against his own insurer for statutory benefits, he states (at para. 47):

Mr. Evans statement, "Mr. Schneider admitted at the hearing that it was irrelevant to him whether his claims could fit within the policy" is irrelevant. . . The policy in my mind is specific in some items and not so specific in others . . . I have paid State Farm for over 30 years. If suddenly my policy is inadequate it is the insurance company's fault. If I had absolutely nothing in insurance coverage the person's insurance company responsible for the accident would still have to pay my accident related costs. If for any reason my policy is lacking, the other responsible party has to pick up the slack, I will under no

circumstances suffer a financial loss on top of all the pain and suffering I had to endure. [Emphasis added].

- Finally, in his concluding summary, he states:

As my situation currently is documented with permanent back injury, I believe I have sufficient extenuating circumstances to take the matter to court as it is. When I have my brain damage results in my hand, the matter will definitely go to court and, if necessary, to the Supreme Court of Canada unless the settlement is reached prior to me receiving my test results there will be no settlement. There is nothing that I would rather do, and if it takes the rest of my life, I will make every effort to expose this system. This insurance company and Dr. Bartol type set ups have to be stopped.

[22] The Plaintiff's appeal from the arbitrator's decision was dismissed by the delegate of the Director of Arbitrations of the Ontario Insurance Commission on June 12, 1997. The Plaintiff tendered further evidence on the appeal, including the documents and reports which, according to the Plaintiff, his counsel Godard should have tendered at the arbitration hearing. In particular, Dr. Durnin's August, 1995 x-rays showing "a bony defect in the pars interarticularis at L5," together with an ensuing report from Dr. Durnin, were tendered on the appeal. The Plaintiff referred to this evidence in his submissions on the appeal as indicating a "broken back." He also referred to his "paralyzed shoulder" and his "brain injury."

[23] The delegate of the Director of Arbitrations concluded that "the medical evidence . . . simply does not support injuries" of the severity described by the Plaintiff in his submissions. In particular, the delegate of the Director noted that Dr. Durnin does not regard his "findings as particularly significant" but states only that the x-rays "show degenerative changes in the neck and lower back with a spondylolysis at L5". Most importantly, "Dr. Durnin does not state that the spondylolysis was caused by the accident, or that it significantly restricts Mr. Schneider's activities." The Plaintiff attacked Dr. Durnin, accusing him of "covering up for Dr. Bartol, who should have found the broken bone in his back." The delegate of the Director noted that there was no basis for this serious accusation of unprofessionalism against Dr. Durnin, which was similar to many allegations made by the Plaintiff against "those who disagree with him." The Plaintiff had even accused Dr. Steel, "the doctor he holds in highest regard," of being "insensitive, inconsiderate and unkind" for concluding that the Plaintiff was able to work and did not need to take time off in order to recover.

[24] The delegate of the Director concluded that the Plaintiff "was not as disabled as he claimed," that some of his claims "were clearly unreasonable" and that the various disputed claims were properly dismissed by the arbitrator. The appeal was dismissed in its entirety.

[25] There is very little factual information found in the motion records as to what the Plaintiff did in the 12 year period between June 12, 1997, when the arbitration appeal was dismissed, and July 13, 2009 when he commenced the present law suit. The Plaintiff's affidavit, responding to the Motion, provides no information about this time period up until 2008 when he recounts certain events that led him to discover his right to sue. I will deal with these events in greater detail below. The only evidence concerning the Plaintiff's status and activities between 1997 and 2008 comes indirectly from three recent medical reports appended to the Plaintiff's affidavit. These reports indicate that as of early 2008 the Plaintiff was 67 years old and was still working in his own business as an accountant, having moved into "mainly supervisory work, over the staff in his accounting job." By late 2009, he was 69 years old and had retired from his business "approximately one year ago." At this time, it appears that he still owned the business and still owned the building where the business is located and where he now resided. His former wife and assistant still worked in the business. It is said that he still "drives without difficulty" and that he lives independently.

[26] The Statement of Claim was issued on July 13, 2009. It alleges that the Defendant Jokic drove her car negligently in the March 5, 1992 motor vehicle accident. At paras. 8-13, the Statement of Claim describes the accident and states that the Plaintiff struck his head on "the door post causing a concussion." Paragraph 14 then describes the extent of the Plaintiff's injuries and states that he only recently discovered their severity:

14. While initially diagnosed with cervical whiplash and lumbar strain, it was eventually determined on or about April 16, 2008 that the Plaintiff sustained a fractured l-5 pars of his spine as a result of the accident. Until then, the Plaintiff was not aware that his back pain and consequent disabling condition that had lasted so long resulted from such fracture and that his injury from the accident was so severe that it may have additionally fractured his pelvis. The Plaintiff also experienced further injuries or symptoms including headaches, depression, mood changes, memory loss, visual impairment and slurred speech.

I will have more to say below about this alleged recent discovery of a fracture of the spine.

[27] At paras. 16-23 of the Statement of Claim, the Plaintiff sets out the factual basis for his two claims against the Defendant State Farm. He pleads breach of fiduciary duty and negligent misrepresentation as alternative causes of action that are based on the same set of facts. The essential facts pleaded are that Lina Miller of State Farm gave misleading legal advice to the Plaintiff "with respect to his entitlement to successfully pursue a tort claim and in directing the Plaintiff to believe that the only compensation that he could seek was through the no fault benefits available . . . under the *Insurance Act*." The Plaintiff asserts that he was unrepresented, dependent and ignorant of his legal rights:

17. At all relevant times, the Plaintiff was dealing with the Defendant's Claims Representative, Lina Miller ("Lina"). The Plaintiff, who was unrepresented in his

dealings with State Farm and who was unsophisticated in litigation to its knowledge, relied upon Lina Miller to advise him appropriately with respect to his legal entitlement to compensation for his injuries. Lina Miller was well aware that the Plaintiff was relying upon her for advice, intentionally encouraged such reliance or did nothing to discourage it and knew that the Plaintiff was not aware of his legal rights or entitlements in law or under the *Insurance Act* and was seeking her assistance, advice and direction throughout which she willingly gave.

18. From time to time from March, 1993 onwards, the Plaintiff who continued to be debilitated by his injuries from the accident, asked Lina if there was any forum other than his application for statutory benefits which might be available to him to obtain monetary compensation for the injuries that he sustained and for the damages that he incurred including his difficulty in maintaining his accounting business, The Tax Stop Ltd. located in the City of Windsor. On each occasion that the Plaintiff sought such information, Lina Miller wrongly advised him that he had no legal option that he could exercise against the driver of the motor vehicle or vehicles that were involved in the accident and that caused the accident. Lina refused to assist the Plaintiff to identify the driver of the vehicles at fault in the accident and did not direct him to obtain independent legal advice with respect to any rights that he might have with respect to a tort claim as was her obligation to do.

19. In so acting, Lina Miller knew or ought to have known that the Plaintiff had or might have sustained damages sufficient to meet the threshold for pursuing a tort claim against the driver at fault, that the time to commence such an action was limited by the *Limitations Act* and that the Plaintiff was not aware of that fact.

I will have more to say below about the assertion that the Plaintiff was unrepresented.

[28] At para. 29, the Statement of Claim acknowledges the possibility that the Plaintiff's action against Jokic may be "barred on the basis of the *Limitation Act*." The claim goes on, at paras. 30 and 31, to hold the Defendant State Farm "responsible in law" for this "lost . . . opportunity to obtain compensation . . . by such tort action." But for the erroneous legal advice provided by Lina Miller, the Plaintiff "would have been able to successfully pursue a tort claim against the Defendant Teresa Jokic . . . without having the possibility of such a tort claim barred by a limitation period."

[29] This possibility, foreseen by the Plaintiff in his pleadings, is what has now come to pass as a result of Ms. Jokic's success on the present Rule 20 Motion for summary judgment.

[30] Finally, at paras. 32 and 33 of the Statement of Claim, the Plaintiff relies on "the doctrine of discoverability," in relation to any limitation periods, and seeks to explain the delay in commencing the law suit as being due to "recently" discovering "his right to pursue an independent claim of tort":

32. The Plaintiff states that he did not become aware of nor realize until recently the error of the Defendant State Farm's advice nor did he realize its consequences because of the concealment of his entitlement to sue and misleading information given to him by the Defendant State Farm regarding his right to pursue an independent claim of tort as well as the causality and severity of his accident-related injury. That knowledge only came to him when he discovered both his entitlement to it and/or its availability recently.

[31] The Plaintiff's responding affidavit, filed on the Motion, has now withdrawn para. 14 of the Statement of Claim. That paragraph, set out above, asserts that the Plaintiff "was not aware that his back pain" resulted from a "fractured L5 pars of his spine" until April 16, 2008. This assertion is not correct as the Plaintiff's Notice of Appeal from the arbitrator's decision, in January/February 1996, repeatedly asserts that the L5 pars was fractured as a result of the accident. The Plaintiff's affidavit now acknowledges the "obvious" error in his pleadings and seeks to explain it as follows:

. . . as a result of the memory difficulties and the brain injury sustained by me in the accident, that fact [the fractured L5 pars] had disappeared from my memory and it only came back to my consciousness in or about April, 2008.

[32] The Plaintiff seeks to amend para. 14 by replacing it with the following:

14. While initially diagnosed with cervical whiplash and lumbar strain, it was later determined that the Plaintiff sustained a fractured L5 pars of his spine as a result of the accident. Until then, the Plaintiff was not aware that his back pain and consequent disabling condition that had lasted so long resulted from such fracture and that his injury from the accident was so severe that it may have additionally fractured his pelvis. The Plaintiff also experienced further injuries or symptoms including brain damage, headaches, depression, mood changes, memory loss, visual impairment and slurred speech. The Plaintiff states that the Defendant State Farm is responsible in law for all the injuries and damages to him by the Defendant Teresa Jokic.

A difficulty with this amended pleading is that it does not state when the Plaintiff became aware of the extent of his injuries.

[33] The Plaintiff's affidavit also attempts to flesh out his reliance on "the doctrine of discoverability." As set out above, at para. 32 of the Statement of Claim the Plaintiff asserts that he "recently" learned of his right to bring a tort action against the responsible driver. His affidavit now explains, at para. 39, that "someone" told him this in April 2008, about 15 months before he commenced the action:

39. Until sometime in April, 2008, I was not aware that I had the right to sue in the court against the persons responsible for the car accident. I discovered this

just by accident when I had an opportunity to mention my situation to someone at or about that time who had some experience with similar lawsuits. This caused me to become aware of that right and accordingly, I acted as expeditiously as I could in asserting this claim.

[34] The most significant aspect of the Plaintiff's affidavit on the Motion is that he reviews various paragraphs in his 1996 Notice of Appeal and confirms and elaborates on their import. For example, he asserts that his reliance on Lina Miller is revealed in the Notice of Appeal by his "frequent phone contact" but, apparently, not by any actual meetings with her:

22. Lina Miller was my life line to any form of compensation or assistance following the accident I relied on her mistakenly for both legal guidance as well as advise on treatment issues. The frequent phone contact and reliance that I placed on Ms. Lina Miller was documented in my grounds of appeal. For example, I set out in paragraph 38 that I called Lina Miller several times each week for many weeks regarding the possibility of supervised exercise to strengthen my back muscles. I point out that I eventually went to State Farm's office to speak to her although she was not available. In various paragraphs I set out how I got Lina Miller's assistance in obtaining housekeepers to assist me, that I discussed my need for a whirlpool to assist me when my condition deteriorated with Ms. Miller although she never responded to me and other ways in which I relied upon her.

[35] Most importantly, the Plaintiff confirms that para. 41 of the 1996 Notice of Appeal, set out above, refers to circumstances associated with the negligent misrepresentation and breach of fiduciary duty claims that are now the central allegations in his law suit against the Defendant State Farm:

23. In paragraph 41, I pointed out that Ms. Lina Miller had several taped interviews with me when I was in a mentally diminished condition. I was under the impression that the purpose of the interviews was to get proper medical attention. It was at this time that she told me explicitly that I could not sue the party responsible for the accident and that I had to assert all my claims through State Farm following the procedures for receiving benefits under the Insurance Act. Although I indicated that I did not think that this was the case, at that time, given my concerns, I had no basis upon which to challenge her instructions and looked upon her as someone who had the knowledge and expertise needed to ensure that I was provided with proper information and direction on how to achieve maximum compensation. Lina Miller led me to believe that that was the case without once advising me that her role was more limited nor that her employer State Farm had a separate interest in the matter because it insured others involved in the accident. She well knew from my contact and questions I asked her that I saw her as my advisor with respect to all my rights to compensation while at the same time misleading me to believing that I had no right to pursue a

lawsuit against the persons responsible for the accident. It should be noted in paragraph 41(h) that I point out once again that I was told that I could not sue notwithstanding the fact that I had a lot of pain and suffering. If, I really knew otherwise I certainly would have sued at that time. [Emphasis added].

[36] The Plaintiff's affidavit on the Motion, as noted above, also appends three recent medical reports. Dr. Malempati, a psychiatrist, states in a January 25, 2008 report that the Plaintiff has complained of depression, anxiety, physical pain and cognitive symptoms since the 1992 car accident. The report concludes with a diagnosis of "anxiety depression disorder" due to back pain and "mild cognitive impairment" resulting from the 1992 accident. The report does not state when this disorder arose nor whether it meets the statutory definition of "catastrophic impairment."

[37] The second report is from a neuropsychologist, Dr. Hayman-Abello, and is dated December 29, 2009. The Plaintiff described his current mood to the doctor as "not so bad" and "attributed his improvement in mood to having a pet dog which is a significant part of his life." He denied having "any significant feelings of anxiety," although on two of his tests he self-reported "significantly anxious and particularly depressed mood." Dr. Hayman-Abello had the Plaintiff complete a number of psychological tests and concluded:

Mr. Schneider is a 69 year-old right-handed gentleman who was referred for neuropsychological assessment to evaluate his current cognitive functioning in the context of a reported 16 year history of cognitive decline, chronic pain, and depressed mood since a MVA with possible mild head injury (no medical records indicating injury). On interview for the current testing, though, he denied significant problems with pain or notable mood difficulties subjectively.

...

Overall, the few difficulties observed on testing in language based tasks may be related to Mr. Schneider's cultural background as opposed to a specific impairment in functioning or decline. The difficulties in attention, possibly visual memory retrieval and some executive functioning measures can sometimes reflect difficulties in frontal-subcortical regions. However, such a pattern may also be seen in people with significant emotional distress, as was reported by Mr. Schneider on self-report measures but not during the interview.

Therefore, although some possible long lasting sequelae from his prior head injury cannot be completely excluded, it would be best to have his cognitive functioning reassessed after his mood has been successfully treated. It is recommended that Mr. Schneider be referred for repeat psychiatric assessment and further treatment. If he continues to experience significant cognitive difficulties after his mood issues have been resolved, then perhaps repeat

neuropsychological testing can be done at that time. If this testing does take place, though, it should probably not be for at least 12 months.

[38] The last and most recent report is from the Plaintiff's current family doctor, Dr. Boismier, and is dated July 22, 2010. By this date, the Plaintiff was and is 70 years old. The report refers to the Plaintiff's "severe" motor vehicle accident in 1992 and asserts that it has "resulted in his loss of employment and significantly affected his overall well being." Dr. Boismier opines that the accident caused "permanent cognitive impairment, chronic low back pain and frequent headaches." These three conditions "have not lessened in time or significantly changed with treatment" and, Dr. Boismier opines, they meet the statutory test for "catastrophic impairment." Of importance to the present Motion, Dr. Boismier does not suggest that the three noted conditions have arisen recently or have worsened recently. She describes the "cognitive impairment" as "persistent but stable since the accident." She states that the Plaintiff's "significant low back pain . . . has not improved with time, physiotherapy or medication" and has existed "since that time" (i.e. since the time of the accident). Finally, the Plaintiff has "suffered from frequent headaches since his MVA" and has been "incapacitated" by the frequent headaches "since his accident."

C. LAW

[39] The test for Rule 20 summary judgment is whether there is any "genuine issue requiring a trial." Rule 20 has recently been strengthened by allowing the judge on the Motion to weigh evidence, evaluate credibility and draw any reasonable inference unless it is in the interest of justice that such powers be exercised only at trial. The earlier Rule 20 case law, and the effect of the recent amendments to the rule, are helpfully analyzed by Perell J. In *Healy v. Lakeridge Health Corporation* (2010), 72 C.C.L.T. (3d) 261 at paras. 16–33 (Ont. S.C.J.). As Perell J. notes, it is important to begin by precisely identifying the issue or issues to be resolved, either on the Motion or at a trial. The necessity test in Rule 20 requires a determination as to whether some particular issue requires a trial or whether it can be resolved justly by using the new powers available on the Motion.

[40] The first issue is whether the Plaintiff's common law tort action for negligent misrepresentation is barred by the Defendant State Farm's limitation period defence. In this regard, the Plaintiff relies on the doctrine of discoverability and claims that he only became "aware that I had the right to sue in the court against the persons responsible for the car accident" in April 2008 as a result of talking to "someone." As Mr. Markin put it in his submissions on the Motion, learning from this conversation in April, 2008 that he had "the right" to sue in tort against the responsible driver provided the Plaintiff with the factual basis for realizing that the

legal advice that Lina Miller had given him back in the 1990s was erroneous and negligent. Accordingly, the Plaintiff submits that the material facts that form the basis for his action against the Defendant State Farm were discovered in April 2008.

[41] In *Aguonie v. Galion Solid Waste Material Inc.* (1998), 156 D.L.R. (4th) 222 at para. 36 (Ont. C.A.), Borins J.A. gave the judgment of the Court and stated:

. . . generally speaking, it is not appropriate for a motions judge, hearing a motion for summary judgment where the application of the discoverability rule is central to its resolution, to resolve this issue.

Aguonie is a case decided under Rule 20 prior to the recent amendments. Even at that time, when the judge on the motion could not weigh the evidence, evaluate credibility or draw reasonable factual inferences, the Court of Appeal nevertheless granted summary judgment in clear cases where the limitations defence was made out. See, for example: *Soper et al v. Southcott et al* (1998), 39 O.R. (3d) 737 (C.A.). The question is whether there is no genuine issue requiring a trial in relation to the doctrine of discoverability or whether the general rule in *Aguonie* should prevail.

[42] The discoverability principle “provides that a cause of action arises for the purpose of a limitation period when the material facts on which it is based have been discovered, or ought to have been discovered by the plaintiff by the exercise of reasonable diligence.” See: *Aguonie, supra* at para. 24. The five essential elements of the tort of negligent misrepresentation are set out in *Queen v. Cognos*, [1993] 1 S.C.R. 87 at p. 110, namely: a duty of care arises from the relationship; a representation is made that is untrue, inaccurate or misleading; the representation is made negligently; reasonable reliance is placed on the representation; and damages result from the representation. Also see: *Hercules Management Ltd. v. Ernst & Young*, [1997] 2 S.C.R. 165.

[43] The Plaintiff initially claimed, in para. 14 of the Statement of Claim, that he was not aware of the severity of his injuries until April, 2008. This assertion, relating to the fifth element in *Cognos*, was obviously not correct and it has now been withdrawn. The evidence overwhelmingly establishes that the Plaintiff has been complaining about the same injuries since the early 1990s and, at the latest, since the time when he drafted the January/February 1996 Notice of Appeal.

[44] The only element of the tort of negligent misrepresentation that Mr. Markin submitted was not reasonably discoverable until April, 2008, is the second element in *Cognos*, namely, the untrue or misleading nature of Lina Miller’s legal advice.

[45] I am satisfied that there is no genuine issue for trial as to the discoverability of this element for four reasons:

- First, the January/February 1996 Notice of Appeal makes it clear that the Plaintiff believed, at that time, that he had the right to bring an action

against the driver who caused the accident. At para. 41(a) of the Notice he states, “She also told me I could not sue the party responsible and had to go through the insurance company procedures. I don’t think this was the case.” At para. 23 of his affidavit on the Motion, the Plaintiff concedes that this passage from the Notice of Appeal refers to the allegedly negligent advice from Lina Miller where “she told me explicitly that I could not sue the party responsible for the accident” and that “I indicated that I did not think that this was the case.” At para. 47 of the Notice of Appeal, he reiterates that even if he had no insurance coverage of his own, “the person’s insurance company responsible for the accident would still have to pay my accident related costs”. This contemporaneous document provides direct evidence that the Plaintiff believed, in early 1996, that Ms. Miller’s legal advice was not correct. In other words, he knew the facts he needed in order to make a claim for negligent misrepresentation;

- Second, the Plaintiff’s assertion at para. 39 of his affidavit that “someone” told him “sometime” in April 2008 that he had “the right to sue” the driver responsible for the accident, is not entitled to any weight. This type of self-serving assertion, unsupported by any details or corroborating evidence, has been held to be an insufficient response on a Rule 20 Motion, given that Rule 20.02(2) requires “specific facts.” See: *Guarantee Co. of North America v. Gordon Capital Corp.* (1999), 178 D.L.R. (4th) 1 at para. 31 (S.C.C.); *Rozin v. Ilitchev* (2003), 66 O.R. (3d) 410 at para. 8 (C.A.); *Bank of Montreal v. Abdel-Messih* (2006), 148 A.C.W.S. (3d) 380 (Ont. C.A.). At a minimum, the time, place, circumstances and identity of the parties to this critical conversation should have been provided if it was to be given weight. In addition, a supporting affidavit from the “someone” who provided this recent advice would have entitled the assertion to further weight. Mr. Markin, who was only recently retained to act for the Plaintiff on this Motion, concedes that the Plaintiff received assistance in preparing his case. This is apparent and yet no affidavit from this person, whether a lawyer or a lay person, has been put forward. It is common to provide an affidavit from a lawyer who has given a Plaintiff advice as to discoverability, when this is the issue on a Rule 20 Motion. See, for example: *Everding v. Skrijel* (2010), 100 O.R. (3d) 641 (C.A.); *Aguonie, supra*;
- Third, the Plaintiff was represented by counsel during the mediation of his statutory accident benefits claim in 1993 and thus knew or ought to have known of any cause or complaint against the responsible driver and/or the Defendant State Farm. Counsel responded to the lack of success at mediation by sending the Plaintiff to see a specialist in neurology. Dr. Sharma saw the Plaintiff in early 1994 and provided a report to counsel which concluded that the Plaintiff’s injuries had “essentially resolved.”

The Plaintiff must have discharged the first lawyer after receiving this report as he then retained a second lawyer, prior to the arbitration hearing in 1995. This second lawyer, a specialist in personal injury insurance litigation, knew that one of the Plaintiff's main heads of damages was lost business income. This is a claim that could only succeed through a tort action since the Plaintiff had continued to work but claimed that his business had declined. In all these circumstances, the Plaintiff's lawyers must have or ought to have been aware of the possibility of bringing a tort claim against the responsible driver and considered whether such an action had any reasonable prospect of success. The Plaintiff does not assert in his pleadings or in his affidavit that his two lawyers failed to raise the matter with him. Instead, the Plaintiff pleads at para. 17 of the Statement of Claim that he was "unrepresented." This is simply not accurate;

- Fourth, it is inherently unlikely that the Plaintiff would turn to Lina Miller for legal advice about his right to sue and it would be unreasonable for him to rely on her legal advice. He was a professional man in his 50s who owned and operated his own business and who owned the building in which the business was located. He was not unsophisticated. He retained lawyers on two separate occasions to help with his statutory benefits claim against his insurer. He was in an intensely adversarial relationship with his insurer, believing by early 1996 at the latest that his insurer had "destroyed my life." He appears to have dealt with Ms. Miller over the telephone and never to have met with her. There is no documentary support for the assertion that he relied on her for legal advice. In all these circumstances, it is simply not credible to suggest that the Plaintiff either sought or reasonably relied on legal advice from someone he regarded as an adversary and who was not a lawyer.

[46] The above four circumstances satisfy me that there is no genuine issue requiring a trial in relation to the doctrine of discoverability and its application to the common law tort action for negligent misrepresentation brought against the Defendant State Farm. The Plaintiff knew, or ought to have known, all the material facts on which to base such an action by January/February 1996, at the very latest, when he prepared his Notice of Appeal from the arbitrator's decision.

[47] The parties agree that the relevant limitation period for a negligence action in 1996 was six years. See: the *Limitations Act*, R.S.O. 1990, c.L-15, s. 45(1)(g). Accordingly, the limitation period expired, at the very latest, in early 2002. The *Limitations Act*, 2002, S.O. 2002, c. 24, s. 24(3) provides:

If the former limitation period expired before January 1, 2004, no proceeding shall be commenced in respect of the claim.

Since the limitation period for the tort action in this case had expired prior to January 1, 2004, no proceeding can be commenced for that claim.

[48] I am satisfied that the limitations defence pleaded by the Defendant State Farm must succeed and that there is no genuine issue requiring a trial. Accordingly, the Motion for summary judgment is allowed and the Plaintiff's action for the common law tort of negligent misrepresentation is dismissed.

[49] The second issue concerns the Plaintiff's alternative cause of action for breach of fiduciary duty. It is common ground between the parties that the former Ontario statutory limitation periods do not apply to the equitable claim in this case for breach of fiduciary duty. However, the equitable defence of *laches* does apply and the Defendant State Farm relies on it. See: *M. (K.) v. M. (H.)*, [1992] 3 S.C.R. 6 at pp. 69-70 and 76. Under the new *Limitations Act, 2002*, the definition of "claim" does not distinguish between a claim based in equity or one under the common law. As a result, equitable claims are now subject to the new statutory limitation periods. See: *Bouchan v. Slipacoff*, [2010] O.J. No. 2592 at para. 9 (S.C.J.).

[50] It should be noted that the Defendant State Farm only concedes the inapplicability of statutory limitation periods to this claim because of the effect s. 24(6) of the current *Limitations Act, 2002*. This transitional rule provides that where "there was no former limitation period" (as in the case of equitable claims) and where "the claim was discovered before January 1, 2004, there is no limitation period." The Defendant State Farm, consistent with its approach to the Plaintiff's common law tort claim, takes the position that the Plaintiff's equitable claim was also reasonably discoverable long before January 1, 2004. Accordingly, the old rules still apply to this particular claim and there is no statutory limitation period. There is some irony in the Plaintiff taking the benefit of these old rules since his position is that he only recently discovered the factual basis for his two alternative claims, at common law and equity, in April 2008. Since I have rejected this latter position, it is appropriate to proceed on the footing that the equitable claim was discovered before January 1, 2004, that no statutory limitation period applies but that the equitable defence of *laches* could apply. This is the common footing on which both counsel argued this part of the Motion.

[51] However, before reaching the defence of *laches*, the more fundamental point advanced by the Defendant State Farm is that there was no fiduciary relationship between the parties and that summary judgment should be granted on this basis.

[52] It is settled law that the relationship between insurer and insured does not, in itself, give rise to fiduciary duties. In other words, it is not one of the established categories or traditional relationships in which a presumption of fiduciary obligation arises. In *Plaza Fiberglass Manufacturing Ltd. v. Cardinal Insurance Co.* (1994), 115 D.L.R. (4th) 37 at pp. 42-3 (Ont. C.A.), Robins J.A. gave the judgment of the Court and stated:

The fact that a contract is one of utmost good faith does not however mean that it gives rise to a general fiduciary relationship. The relationship between insured

and insurer is not akin to the relationship between, say, guardian and ward, principal and agent, or trustee and beneficiary. In these latter instances, the inherent character of the relationship is such that the law has traditionally imported general fiduciary obligations. The insurer-insured relationship is contractual, the parties are parties to an arm's-length agreement. The principle of *uberrima fides* does not affect the arm's length nature of the agreement, and, in my opinion, cannot be used to find a general fiduciary relationship. The insurance contract, as noted above, imposes certain specific obligations on its parties. These obligations, however, do not import general fiduciary duties into each and every insurance relationship. Before such fiduciary obligations can be imported there must be specific circumstances in the relationship that call for their imposition.

Also see: *Warrington v. Great-West Life Assurance Co.* (1996), 139 D.L.R. (4th) 18 at para. 10 (B.C.C.A.); *Segnitz v. Royal and Sun Alliance Insurance Co. of Canada* (2003), 67 O.R. (3d) 463 (S.C.J.).

[53] In cases that fall outside of the traditional categories, the “specific circumstances in the relationship” that can give rise to *ad hoc* fiduciary duties generally possess three characteristics:

1. The fiduciary has scope for the exercise of some discretion or power;
2. The fiduciary can unilaterally exercise that power or discretion so as to affect the beneficiary's legal or practical interests;
3. The beneficiary is peculiarly vulnerable to or at the mercy of the fiduciary holding the discretion or power.

See: *Lac Minerals Ltd. v. International Corona Resources Ltd.*, [1989] 2 S.C.R. 574 at pp. 599 and 645-6; *M. (K)*, *supra*, at pp. 63-4; *Plaza Fiberglass*, *supra*, at p. 43.

[54] In the insurance context, there is undoubtedly some degree of power and vulnerability in the relationship between the parties. The courts have recognized this by imposing an obligation to deal in good faith but not a fiduciary duty. As Laskin J.A. put it in his dissenting judgment in *Whiten v. Pilot Insurance Co.* (1999), 170 D.L.R. (4th) 280 at para. 25 (Ont. C.A.), *rev'd.*, [2002] 1 S.C.R. 595 at paras. 31 and 79:

A contract of insurance between an insurer and its insured is one of utmost good faith. Although the insurer is not a fiduciary, it holds a position of power over an insured; conversely, the insured is in a vulnerable position, entirely dependent on the insurer when a loss occurs. For these reasons, in every contract an insurer has an implied obligation to deal with the claims of its insureds in good faith. [Emphasis added.]

Although the above passage is from Laskin J.A.'s dissenting judgment in the Court of Appeal, the dissent was affirmed on further appeal to the Supreme Court of Canada. Also see: *Plaza Fiberglass*, *supra* at p. 43.

[55] In two reported cases, an *ad hoc* fiduciary relationship was found to exist in the insurance context by applying the three *Lac Minerals* criteria to the particular facts. One case involved the relationship between an insured and an adjuster. The other case involved an “express mutual understanding” that an insured would reimburse the insurer if compensatory monies were obtained from another source, namely, the Workers’ Compensation Board. See: *Wigmore v. Canadian Surety Co.* (1994), 124 Sask. R. 113 (Q.B.), var’d on other grounds (1996), 139 D.L.R. (4th) 164 (Sask. C.A.); *Confederation Life Insurance Co. v. Waselenak* (1997), 210 A.R. 241 (Q.B.), aff’d, [2000] I.L.R. I-3831 (Alta. C.A.). Since these two cases were decided, the law has been clarified to the effect that “it is fundamental to *ad hoc* fiduciary duties that there be an undertaking by the fiduciary, which may be either express or implied, that the fiduciary will act in the best interests of the other party.” See: *Galambos v. Perez*, [2009] 3 S.C.R. 247 at paras. 66 and 75-82. The *Waselenak* case appears to be an example of such an undertaking. No similar undertaking, whether express or implied, has been pleaded or deposed to in the case at bar.

[56] Even if a fiduciary relationship could be established on some *ad hoc* basis, a further difficulty is that not every breach of duty within a fiduciary relationship gives rise to a claim for breach of fiduciary duty. For example, a breach of contract within an established fiduciary relationship, such as solicitor and client, or mere negligence in the giving of erroneous advice is not a breach of fiduciary duty. It is only where the breach relates to specific fiduciary obligations such as disloyalty, breach of confidence, dishonesty or failing to make proper disclosure that a claim for breach of fiduciary duty can be advanced. See: *Galambos v. Perez*, *supra* at paras 36-7; *Springer v. Aird & Berlis LLP* (2010), 100 O.R. (3d) 575 at para. 11 (C.A.); *Fasken Campbell Godfrey v. Seven-Up Canada Inc.* (1997), 142 D.L.R. (4th) 456 at paras. 95-9 (Ont. S.C.J.), aff’d (2000), 47 O.R. (3d) 15 (C.A.). It is hard to see how allegedly negligent advice by the Defendant State Farm, in relation to the Plaintiff’s right to sue the Defendant Jokic and her insurer in tort, relates to any duty of loyalty or any breach of confidence or involves any dishonesty or failure to disclose. See: *Crown West Steel Fabrications v. Capri Insurance Services Ltd.* (2002), 214 D.L.R. (4th) 577 (B.C.C.A.); *Tingley v. Wellington Insurance* (2009), 281 N.S.R. (2d) 99 at paras. 135-7 (N.S.S.C.). This issue, of course, would only be reached if an *ad hoc* fiduciary relationship was established on the particular facts of this case.

[57] The Plaintiff concedes that the insurance relationship does not ordinarily give rise to fiduciary duties but submits that there are extraordinary circumstances in this case. Those circumstances are that the Plaintiff was relying on his insurance representative Lina Miller for legal advice, she was the “dominant person” in the relationship and became his “life line to any form of compensation” and, in spite of knowing of his heavy “dependence on her”, she failed to direct him “to obtain independent legal advice”.

[58] I am satisfied that there is no genuine issue requiring a trial in relation to whether a fiduciary relationship existed between the parties. My reasons in this regard over-lap

substantially with the reasons already set out above concerning discoverability of the tort claim. This is not surprising since the factual basis pleaded in support of both the tort claim and the equitable claim is the same. My reasons concerning the fiduciary relationship issue are as follows:

- First, the Plaintiff was a reasonably sophisticated middle-aged professional who owned and operated his own business and who twice retained counsel to assist him in pursuing a claim for statutory accident benefits. In these circumstances, the suggestion that the Plaintiff was heavily dependent on his insurer for legal advice concerning a closely related tort claim against the responsible driver, is not credible;
- Second, the Plaintiff was in a highly adversarial relationship with his insurer. He determinedly pursued them through various stages of mediation, arbitration and appeal in relation to his statutory benefits claim. He also threatened, in writing, to pursue them through the courts if necessary. In these circumstances, the suggestion that he was peculiarly vulnerable and dependent on a “dominant” insurer, is not credible;
- Third, the Plaintiff’s claim of extraordinary reliance on and acceptance of Lina Miller’s advice concerning whether he had the right to sue the responsible driver in tort, is contradicted by the documentary evidence at paras. 41 and 47 of his 1996 Notice of Appeal, as set out above. This contemporaneous document makes it clear that he rejected her legal advice on this point. In his affidavit on the Motion, at para. 23, he confirms this reading of the 1996 Notice of Appeal;
- Fourth, the only evidence supporting the extraordinary reliance that the Plaintiff claims to have placed on Ms. Miller is his own self-serving assertions in his affidavit. Conclusory statements that she was the “dominant person”, that she was his “life line” and that he regarded her as “an advisor” are all unsupported by any detail, by any contemporary documentation and by any corroborating evidence. Indeed, the known facts and documentation from the case contradict these assertions, as noted above. See: *Gordon Capital, supra*; *Rozin, supra*; *Abdel-Messih, supra*.
- Finally, there is no evidence that the Defendant insurer undertook to relinquish its own self-interest or to act solely in the Plaintiff’s interests. Furthermore, it does not appear that the breach alleged relates to some fiduciary obligation such as loyalty, confidentiality or honesty.

[59] For the above five reasons, there is no genuine issue requiring a trial of the equitable claim for breach of fiduciary duty. The parties were simply not in a fiduciary relationship.

[60] In the alternative, I am satisfied that there is also no triable issue in relation to the equitable defence of *laches*. That defence is authoritatively described by LaForest J. in *M. (K.)*, *supra*, at pp. 76-80. It has two distinct branches, referred to as “acquiescence” (by the Plaintiff) and “altering his position” (by the Defendant). It is the first branch – “acquiescence” – that is raised in the case at bar, as it was in *M. (K.)*. LaForest J. held that the primary meaning of “acquiescence” is that “the Plaintiff stands by and watches the deprivation of her rights and yet does nothing”. Most importantly, LaForest J. stated the following:

It is interesting to observe that in practical terms the inquiry under the heading of acquiescence comes very close to the approach one takes to the reasonable discoverability rule in tort. As we have seen, the latter focuses on more than mere knowledge of the tortious acts -- the plaintiff must also know of the wrongfulness of those acts. This is essentially the same as knowing that a legal claim is possible. That the considerations under law and equity are similar is hardly surprising, and is a laudable development given the similar policy imperatives that drive both inquiries.

See: *M. (K.)*, *supra* at p. 79.

[61] I have already found in relation to the tort claim, that the Plaintiff knew all the material facts on which this alternative cause of action rested, at the very latest, by January/February, 1996. His appeal from the arbitration decision was dismissed on June 12, 1997. Over 12 years then passed before the Plaintiff commenced the present action. Little or no evidence has been put forward as to what the Plaintiff did in these 12 years and as to who or what caused him to begin seeking further medical reports, beginning in January, 2008. This would seem to be the very definition of “standing by and watching, knowing of the Defendant’s wrongful action, and doing nothing”, to paraphrase LaForest J. in *M.(K.)* as to the primary meaning of “acquiescence.” The Plaintiff fervently believed that he had been wronged by his insurer, as he so forcefully argued in the 1996 Notice of Appeal, and yet he took no steps to commence this action. His claim was reasonably discoverable by 1996 and he did nothing for over 13 years. In *Prkacin v. Winter* (2005), 139 A.C.W.S. (3d) 54 (Ont. S.C.J.), G. Speigel J. applied the defence of *laches* in a case where there was 10 years of unexplained delay.

[62] The only explanation relied on by Mr. Markin, to counter the above inference of “acquiescence,” is that the Plaintiff was experiencing mental difficulties as a result of the accident. Mr. Markin did not rely on s. 47 of the old *Limitations Act*, which tolls the running of any limitation period where the Plaintiff is “a minor, mental defective, mental incompetent or of unsound mind.” Mr. Markin concedes that the Plaintiff’s mental difficulties never rose to this level but he submits that they were sufficient to make it unsafe to draw the inference of “acquiescence” for purposes of the defence of *laches*.

[63] The three most recent medical reports, as already summarized above, refer to “mild cognitive impairment” or “possible mild head injury.” The psychological report, after extensive testing, concludes that “some possible long lasting sequelae from his prior head injury cannot be completely excluded.” The kinds of self-reported cognitive difficulties described in the reports are being “forgetful of income tax rules and changes.” The psychological report describes the Plaintiff’s self-reported cognitive difficulties as follows:

Regarding cognition, as stated previously he reports significant difficulties with multiple cognitive areas all dating back to his motor vehicle accident with no significant changes since then. These include severe problems with memory (names, recent conversations or information within the same conversation, previously known tax related information, misplacing personal items such as his glasses and wallet), along with frequent difficulties in speech comprehension, concentration (although he can follow a television show), worsening handwriting, and possibly some questionable judgement. Regarding this last symptom, he described that he will occasionally order items from the Internet or television commercials that his ex-wife then suggests was a mistake.

[64] The most recent report states that the Plaintiff is “markedly restricted in his short term memory” and suffers from “frequent severe headaches.” These symptoms have been consistent and continuous since the 1992 car accident.

[65] Given that the Plaintiff was 67 to 70 years old at the time of these three recent reports, given that he appears to have continued working until age 69, supervising the staff and operations at his own accounting firm, given that he continues to drive a car and to live independently and given that he vigorously pursued his statutory benefits claims in the 1990s, while experiencing essentially the same symptoms, I am not satisfied that his mental difficulties are of the kind that could weaken the very strong inference of “acquiescence.”

[66] In all these circumstances, there is no genuine issue for trial regarding the defence of *laches*. The Motion for summary judgment is granted in relation to the equitable claim for breach of fiduciary duty on both bases advanced by the Defendant State Farm, namely, there was no fiduciary relationship and there has been *laches*.

D. CONCLUSION AND COSTS

[67] In the result, the Motion is granted and the Plaintiff’s two alternative claims at common law and in equity are both dismissed.

[68] The Defendant State Farm has been completely successful and is entitled to its costs throughout. Ms. Fabiani seeks \$16,000 in costs, on a partial indemnity basis, and Mr. Markin responds by submitting that \$11,000 would be reasonable. The rates charged by counsel for the Defendant are entirely reasonable. The total of 55 hours work is also reasonable for preparing

the pleadings, preparing the Motion Record, attending cross-examinations, preparing a helpful factum and casebooks and then preparing for and attending at a full day hearing of the Motion. The issue was important to the client, as it puts an end to the entire matter, and it was relatively complex.

[69] In all these circumstances, costs are fixed at \$15,000 payable within 30 days following the release of my Reasons.

M. A. CODE J.

Released: September 15, 2010

CITATION: Schneider v. State Farm Mutual Automobile Insurance Company, 2010 ONSC 4734
COURT FILE NO.: CV-09-382845
DATE: 20100915

ONTARIO
SUPERIOR COURT OF JUSTICE

BETWEEN:

GERHARD M. SCHNEIDER

Plaintiff

– and –

STATE FARM MUTUAL AUTOMOBILE
INSURANCE COMPANY and TERESA JOKIC

Defendants

REASONS FOR JUDGMENT

M. A. CODE J.

Released: September 15, 2010